

Kenya Electricity Generating Company PLC (KenGen)

AUDITED FINANCIAL RESULTS FOR THE YEAR ENDED 30TH JUNE 2026

The Board of Directors of Kenya Electricity Generating Company PLC (KenGen) is pleased to announce the Audited Financial Results for the year ended 30th June 2026 as follows:



CONDENSED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	30 June 2026	30 June 2025
	KShs Million	KShs Million
Revenue	59,712	56,098
Reimbursable Expenses (Fuel and water costs)	(10,201)	(9,647)
Revenue less reimbursable expenses	49,511	46,451
Other Income	783	851
	50,294	47,302
Net forex and fair valuation (losses)/gains	1,417	1,453
Operating Expenses	(37,537)	(35,138)
Operating Profit	14,174	13,617
Finance Income	2,861	4,110
Finance Costs	(1,982)	(2,254)
Profit Before Tax	15,053	15,473
Income Tax Expense	(4,700)	(4,992)
Profit After Tax	10,353	10,481
Other Comprehensive Income	1,185	247
Total Comprehensive Income	11,538	10,728
Earnings per share (KShs)	1.57	1.59

CONDENSED STATEMENT OF CHANGES IN EQUITY

	Share capital & Share Premium	Other reserves	Retained earnings	Total Equity
	KShs Million	KShs Million	KShs Million	KShs Million
At 30 June & 1 July 2024	38,639	118,730	120,737	278,106
Total comprehensive income for the period	-	247	10,481	10,728
Adjustment of unallotted rights issue shares	(4)	-	-	(4)
Transfer of excess depreciation	-	(3,803)	3,803	-
Deferred tax on excess depreciation	-	1,141	(1,141)	-
Dividends paid	-	-	(4,286)	(4,286)
At 30 June & 1 July 2025	38,635	116,315	129,594	284,544
Total comprehensive income for the period	-	1,185	10,353	11,538
Transfer of excess depreciation	-	(4,113)	4,113	-
Deferred tax on excess depreciation	-	1,234	(1,234)	-
Dividends declared	-	-	(5,935)	(5,935)
At 30 June 2026	38,635	114,621	136,891	290,147

OPERATING ENVIRONMENT

Kenya's economy remained resilient despite heightened geopolitical tensions and disruptions in global energy markets. Real GDP expanded by 5.3% in the first quarter of 2026, compared with 4.9% in the corresponding quarter of 2025. This momentum supported continued growth in electricity demand. National peak demand rose by approximately 8.5% to 2,514 MW on 29th June 2026, from 2,316 MW on 12th February 2025, reinforcing the need for timely investment in reliable, affordable and sustainable generation capacity.

Against this backdrop, KenGen supplied 8,975 GWh of electricity to the national grid, representing 57.2% of national electricity demand. More than 90% of the electricity dispatched by the Company was generated from renewable sources, underscoring KenGen's position as the backbone of Kenya's clean-energy system.

FINANCIAL PERFORMANCE
Revenue Growth: Total revenue increased by 6.4% to KShs 59.7 billion, from KShs 56.1 billion in 2025, driven by higher electricity sales, increased generation and improved dispatch across KenGen's diversified portfolio.

CONDENSED STATEMENT OF FINANCIAL POSITION

	30 June 26	30 June 25
	KShs Million	KShs Million
ASSETS		
Property Plant & Equipment	433,680	429,556
Financial asset at fair value through profit and loss(FVTPL)	(1,234)	6,178
Other Non-current Assets	16,902	16,349
Current Assets	50,724	53,490
	500,072	505,573
EQUITY AND LIABILITIES		
Total Equity	290,147	284,544
Borrowings	97,066	109,271
Other non-current Liabilities	92,159	91,366
Current Liabilities	20,700	20,392
	500,072	505,573

Operational Resilience: Operating profit rose by 4.1% to KShs 14.2 billion, from KShs 13.6 billion. Operating expenses increased slightly by 6.8% to KShs 37.5 billion, reflecting cost pressures as well as planned investment in plant maintenance, availability and long-term reliability.

Disciplined capital Management: Finance costs declined by 12.1% to KShs 2.0 billion as continued debt repayments reduced outstanding loan balances. Borrowings fell by KShs 12.2 billion, or 11.2%, to KShs 97.1 billion, strengthening the Company's balance sheet and financial flexibility.

Investment for Growth: Finance income declined by 30.4% to KShs 2.9 billion, from KShs 4.1 billion, mainly because cash resources were deployed into strategic capital investment. Purchases of property, plant and equipment increased by 14.3% to KShs 15.5 billion, demonstrating continued execution of the Company's growth and asset-reliability agenda.

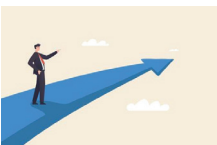
Sustained Profitability: Profit before tax was KShs 15.1 billion, compared with KShs 15.5 billion in 2025, while profit after tax remained robust at KShs 10.4 billion, compared with KShs 10.5 billion. The modest movements of 2.7% and 1.2%, respectively, were primarily attributable to lower finance income.

Enhanced Shareholder Value: Total comprehensive income increased by 7.6% to KShs 11.5 billion, from KShs 10.7 billion, supported by higher other comprehensive income. Cash generated from operations also increased by 7.1% to KShs 29.9 billion, providing a strong foundation for investment, debt repayment and sustainable shareholder returns.

Overall, the results demonstrate the resilience of KenGen's core business, the strength of its predominantly renewable generation portfolio and the Company's capacity to invest for long-term growth while maintaining profitability.

Non-current assets: The financial asset measured at fair value through profit or loss (FVTPL) relates to recoverable foreign exchange losses/ (gains). The amount is derived from movements in foreign denominated borrowings which decreased mainly due to foreign exchange gains on borrowings arising from the appreciation of the Kenya Shilling against major foreign currencies, as well as principal repayments of the underlying loans.

FUTURE OUTLOOK



Looking ahead, KenGen remains focused on expanding and optimising its generation portfolio, strengthening financial sustainability, diversifying revenue streams and creating enduring value for shareholders and stakeholders.

In line with the Least Cost Power Development Plan (LCPDP), the Company is advancing a diversified pipeline spanning geothermal, hydro,

CONDENSED STATEMENT OF CASH FLOWS

	30 June 2026	30 June 2025
	KShs Million	KShs Million
Cash generated from operations	29,872	27,892
Finance income received	2,732	3,958
Tax paid	(2,572)	(1,233)
Net Cash generated from operating activities	30,032	30,617
Purchase of Property Plant and equipment	(15,542)	(13,592)
Other investing activities	(4,393)	(3,384)
Net Cash used in investing activities	(19,935)	(16,976)
Net movement in borrowings	(5,598)	(2,399)
Finance costs paid	(1,993)	(2,173)
Dividends paid	(5,935)	(4,286)
Other financing activities	(75)	(268)
Net Cash from financing activities	(13,601)	(9,127)
Net (decrease)/increase in cash and cash equivalents	(3,504)	4,514
At the beginning of the year	30,124	25,618
Effects of exchange rate changes on cash and cash equivalents	38	(8)
Cash and cash equivalents at the end of the year.	26,658	30,124

wind, solar, nuclear and Battery Energy Storage Systems (BESS). Key medium-term projects include the Olkaria I Rehabilitation Project (63 MW), Seven Forks Solar Project (42.5 MW), Gogo Hydropower Plant Upgrade (8.6 MW), Wellhead Leasing Geothermal Project (58.42 MW), BESS and the Raising of Masinga Dam. These investments are designed to expand and optimise KenGen's generation portfolio, enhance system resilience and meet Kenya's growing electricity needs.

Beyond electricity generation, KenGen continues to scale complementary revenue streams and commercial opportunities. The KenGen Green Energy Park, its flagship diversification initiative has been gazetted as a Special Economic Zone and Customs Controlled Area, creating a platform for green industrial investment. The Company is also commercialising its world-class geothermal expertise through engagements in markets including Tanzania, Bhutan and Eswatini. Together, these initiatives reinforce KenGen's position as a leading African renewable-energy company with globally relevant capabilities and a clear pathway to sustainable growth.

ANNUAL GENERAL MEETING

The Annual General Meeting (AGM) of the Company will be held via electronic communication on 29th October 2026 at 11.00 a.m.

DIVIDEND

The Board of Directors is pleased to recommend a first and final dividend for 2026 of KShs 0.75 (2025: KShs 0.90) per ordinary share.

Subject to shareholder approval at the Annual General Meeting, the dividend will be paid, less withholding tax where applicable on or about 21st January 2027 to the shareholders whose names appear in the Register of Members at the close of business on 29th October 2026.

APPRECIATION

We extend our sincere appreciation to the Government of Kenya, Investors, development partners, employees and all our stakeholders for their continued support. KenGen remains committed to creating sustainable long-term value and advancing Kenya's transition to a cleaner, more secure and prosperous energy future.

Together, we shall power possibilities and enrich lives.

By Order of the Board

FCS. AUSTIN OUKO, OGW
COMPANY SECRETARY & GENERAL MANAGER -LEGAL AFFAIRS

4th September 2026



KenGen
Energy for the nation.

